

**Privatized Sovereignty:
A Stratigraphy of Control Without Exposure**

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Abstract

An initial public offering is described as the moment a company becomes public. In June 2026 the largest aerospace firm in the world sold shares to the public while its founder kept 82.4 percent of the vote through a class of stock that also elects a majority of the board (Space Exploration Technologies, 2026). The filing is routine. This paper treats the founder-controlled public corporation as a fossil: the clearest small specimen of an order that has lost the capacity to correct itself. The diagnostic quantity is the wedge between voting control and economic exposure, and the paper's formal result is that the wedge finances its own persistence: a controller with economic stake below a threshold, 0.42 in the model, rationally keeps control that destroys firm value, because the private benefits of control exceed the controller's small share of the loss, and the Ford family's measured stake of 0.018 sits a factor of 24 inside that threshold. Three mechanisms are built and priced. A lifecycle model calibrated to the documented 6-to-9-year fade of the dual-class premium finds the insulation advantage crossing zero at 7.1 years; over 25 years the perpetual wedge destroys 0.53 units of value against a single-class baseline while a renewable sunset gains 0.67, so the dispute worth having concerns duration, never existence. A model of exchange competition reproduces the documented shape of normalization: 61 years of holdout while founder demand was low, defection within 7 years of the demand shift, a federal floor that binds until a court removes it, and a permissiveness ratchet that ends at 20-to-1 share classes with no sunset, which is where London and Hong Kong actually arrived in 2024 and 2026. A correction model then compares 5 control architectures under an identical controller failure and finds the sealed wedge best in normal times and worst in the tail: 39 percent of its failure episodes reach irrecoverable damage, against 0 in 250 under architectures that can remove a controller, and mandated transparency without removability recovers only 12 percent of the damage while removability recovers 46 percent. The comparison with Singapore, China, Japan, Korea, and India shows that hierarchy is common to all and pathology is a property of hierarchies protected from correction. The paper closes with a constitutional settlement, the events that would test it, and the statement of what would falsify the diagnosis.

The exhibit

Begin with what the filings say, because everything in this paper rests on documents any reader can fetch. Snap's public shareholders hold a class of stock that carries no vote at all; the 2 founders control over 99 percent of the voting power, each holds a proxy over the other's shares effective on death or disability, and a 2016 dividend of non-voting shares exists so that the founders can sell economic interest without loosening their grip (Snap, 2026). Meta's founder holds 60.8 percent of the vote through 99.8 percent of a 10-vote class (Meta Platforms, 2026). Alphabet's 2 founders jointly hold 52.7 percent, at 27.4 and 25.3, while an entire publicly traded class votes nothing (Alphabet, 2026). Palantir's charter sets the founders' Class F stock to a computed quantity: 49.999999 percent of the vote on covered matters, less the founders' other votes, a constant that someone drafted, reviewed, and filed (Palantir Technologies, 2026). Ford's family class is fixed at 40 percent of the general vote and represents 1.8 percent of the shares outstanding (Ford Motor Company, 2026). And in June 2026 SpaceX priced the largest listing of its era with its founder at 82.4 percent of the

vote, holding 91.6 percent of a Class B that separately elects 51 percent of the directors, while his economic stake is roughly 46 percent and falls with every sale (Space Exploration Technologies, 2026).

None of this is hidden. Each structure is disclosed in the form the law requires, priced by the market, and copied by the next filing. That is the phenomenon. A company can be public in its financing, public in its systemic consequences, public in its subsidies, and public in its pension exposure, while remaining private in its constitution. The transaction called going public has, in these cases, a more precise description: the firm socialized its financing and personalized its sovereignty.

What the state can perceive

The intuition that provoked this paper is a comparison the paper must first take apart. Set a mass murderer beside a controlling founder and the moral comparison ends instantly; deliberate killing belongs to a category nothing in corporate governance approaches. What survives the dismissal is a question about perception rather than gravity. The state is an instrument built to recognize acts: a bomb has a perpetrator, a date, a crime scene, and a statute. Structural transformation has none of these. Voting power separates from ownership through a sequence of individually lawful filings; infrastructure becomes dependent on one company through a sequence of individually rational contracts; an agency loses its engineers one resignation at a time. Every step is disclosed. No step is a crime. The aggregate is a constitutional change that no institution ever voted on.

The asymmetry can be stated in a sentence: the modern state is strongest where a concentration of power looks like a crime and weakest where the same concentration looks like a term sheet. Violence attacks the legal order from outside and meets its full perceptual apparatus. The wedge grows inside the legal order, speaking its language of consent, property, and disclosure, and the state has no category for it because the state's categories were the medium of its growth. An order in this condition has lost the vocabulary for its own transformation, and the loss of that vocabulary is the first fossil of the larger loss this paper is about.

The wedge

Classical ownership joined 4 things: whoever received the profits also absorbed the losses, chose the directors, directed the enterprise through them, and stood exposed to the consequences. The founder-class charter cuts this bundle. Economic ownership goes to the public, voting control stays with the founder, operational authority follows the votes, and the external consequences fall on users, workers, contractors, and states that hold no shares at all. The quantity to watch is the wedge: voting share minus economic share. Ford's family holds 40 percent of the vote on 1.8 percent of the shares. SpaceX's founder holds 82.4 on roughly 46. The 10-vote and 20-vote classes, the pyramids of East Asia (Claessens, Djankov and Lang, 2000), and the crossholdings of the chaebol are one instrument in different costumes, and concentrated control, worldwide, is the norm rather than the exception (La Porta, Lopez-de-Silanes and Shleifer, 1999).

Theory identified the cost at the start. One share, one vote forces anyone who wants control to hold a matching share of the consequences, which is what makes a control contest select the better manager (Grossman and Hart, 1988). Widen the wedge and the selection breaks. The evidence found what the theory predicted: as insider voting rights rise above cash-flow rights, firm value falls (Gompers, Ishii and Metrick, 2010), cash is worth less in outside shareholders' hands, acquisitions destroy more value, and executive pay rises (Masulis, Wang and Xie, 2009). The private benefits that motivate the arrangement have been measured directly, as the premium paid for controlling blocks across 39 countries (Dyck and Zingales, 2004).

The wedge has a property the literature states less often: it pays for its own defense. Let a controller hold economic stake α , let control yield a private benefit flow, and let conversion to market governance raise firm value by some amount per year. The controller internalizes α of the improvement and all of the private benefit, so control is kept whenever the benefit exceeds α times the forgone value. In the model built below, the threshold stake works out to 0.42: any controller holding less rationally retains control that is destroying the firm, forever, and the smaller the stake, the cheaper the retention. The Ford family's 0.018 sits a factor of 24 inside the threshold. The SpaceX founder's 0.46 sits just above it, and every share he sells moves him toward the interior. This is the arithmetic of self-financing entrenchment, and it means the wedge is a ratchet: selling economic exposure strengthens the incentive to keep control, and keeping control is what makes the remaining exposure safe to sell.

The managerial republic

How did this become normal? In layers, and the first layer looks nothing like a founder monarchy. Berle and Means described a corporation whose owners had dispersed into a crowd and whose managers ruled in their name (Berle and Means, 1932). That republic had its own agency problem, and its own answer: countervailing institutions. Unions, banks, regulators, antitrust, and an exchange that made proportional voting a condition of admission. The New York Stock Exchange refused to list non-voting common stock from 1926 and formalized one share, one vote as policy in 1940 (Seligman, 1986). The rule was a norm with a price attached: access to the deepest capital market in the world required giving the capital a vote. For half a century the price was paid.

The contractual turn

The second layer was intellectual. From the 1970s the corporation was reconceived as a nexus of contracts, a bundle of voluntary agreements among shareholders, managers, creditors, and workers, with the state's role reduced to disclosure and fraud (Jensen and Meckling, 1976). Under this description the constitutional question dissolves. Unequal votes stop being a governance anomaly and become a term, disclosed in the prospectus and priced by the buyer. The question shifted from whether a public corporation should permit control without ownership to whether the buyer was told. Disclosure became the solvent in which a political asymmetry dissolves into private consent.

The architecture followed the idea. Facing competition from venues that had never adopted the

norm, the New York Stock Exchange moved to abandon one share, one vote in 1986 (Seligman, 1986). The Securities and Exchange Commission answered in 1988 with Rule 19c-4, a floor under shareholder voting rights, and in 1990 a court struck the floor down as beyond the agency's authority (*Business Roundtable v. Securities and Exchange Commission*, 1990). What remained is the current settlement: a company may not take votes away from shares already sold, but it may sell the shares pre-shrunk. The expropriation that would be forbidden at year 5 is admission-standard at year 0, and everyone downstream is said to have consented.

The founder counterrevolution

The third layer supplied the protagonist. Venture capital made money abundant relative to exceptional companies, so the exceptional company chose among suitors, and governance became a term the founder set rather than accepted. Software let firms reach scale without the factories that once forced early listings, so founders arrived at the exchange with leverage. And a handful of spectacular successes supplied the mythology: insulation itself, the story ran, was the cause of the success. The failures delisted quietly and left the survivors as the sample. On the sample, the story is even true for a while. Dual-class firms carry a valuation premium at listing, and the premium dissolves into a discount roughly 6 to 9 years out (Cremers, Lauterbach and Pajuste, 2024). The case for perpetual insulation collapses on its own logic: a rationale resting on one founder's ability cannot survive the founder's decay, departure, or heirs (Bebchuk and Kastiel, 2017). Institutional investors drew the operational conclusion in 2018 and petitioned both major exchanges to require conversion within 7 years of listing (Council of Institutional Investors, 2018). The petitions failed. The evidence they carried did not.

The lifecycle, priced

The first of the paper's 3 mechanisms puts this stratum into arithmetic. A firm's controller starts with a knowledge advantage worth 0.30 units of annual value flow and the advantage decays exponentially; insulation also imposes a constant drag of 0.12, the sum of a 0.05 distortion from private-benefit extraction and the 0.07 a firm forgoes by shutting out market discipline. Firms come in 3 decay speeds, calibrated so the population premium crosses zero at 7.1 years, inside the documented window. Figure 1 prices 5 charter regimes on this population over 25 years. The perpetual wedge captures the early premium and then rides the decayed advantage down, ending 0.53 units below a single-class baseline. An event sunset, conversion on the founder's departure at a 5 percent annual hazard, ends at 0.1 above the baseline, because departures mostly arrive after the crossover. The hard 7-year sunset banks the premium and exits, at 0.62. A renewable sunset, insulation extended at 5-year intervals whenever the unaffiliated see a demonstrated advantage, tracks each firm's own crossover and ends at 0.67, best of the field, because it keeps the slow-decay founders and releases the rest. The ordering is the paper's answer to the governance debate: founder insulation is real, valuable, and worth exactly its documented window, and every regime that respects the window beats every regime that ignores it.

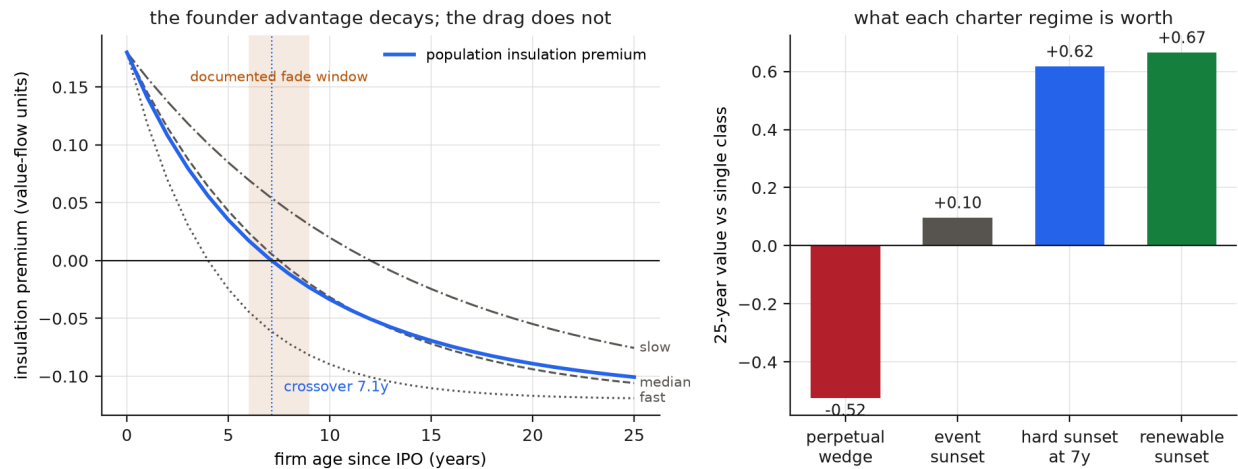


Figure 1: The lifecycle of the wedge. Left: the insulation premium decays through the documented 6-to-9-year fade window while the drag of insulation does not decay; the population crossover lands at 7.1 years. Right: 25-year value against a single-class baseline: the perpetual wedge destroys 0.53, the renewable sunset gains 0.67.

Platform sovereignty

The fourth layer changed what the insulated firm is. A platform is an environment in which other agents act: it sets rules, adjudicates disputes, sanctions violators, manages identity, and provisions infrastructure, which is the functional profile of a government (Rahman, 2018). When such a firm adds the wedge, the mismatch compounds: billions live under rules set by an organization whose own shareholders cannot outvote its founder. And the dependence runs both ways. The state that would regulate the platform also buys its cloud, rides its rockets, and borrows its models. A regulator can hold the legal authority to command while lacking any operational substitute for the regulated, and a firm in that position has the bargaining power of a strategic territory. Governments do more than tolerate the private sovereign. They need it, and the need is priced into every enforcement decision.

Ownership without owners

The fifth layer removed the remaining counterweight. The theory of shareholder consent assumes a shareholder who reads, votes, and leaves in protest. The actual owner of the American corporation is a pension saver whose index fund inherited the vote. 3 asset managers held a median stake of 21.9 percent in the 500 largest listed firms at the end of 2021 and cast 24.9 percent of the votes at their meetings (Bebchuk and Hirst, 2022); retail investors voted 28 percent of their own shares in the 2025 season, the lowest in 9 years (Broadridge, 2025). Hirschman's grammar names what indexing forecloses: exit is unavailable to a fund that must hold the index, voice is delegated twice over, and loyalty was never asked (Hirschman, 1970). The saver did not examine Snap's charter and choose disenfranchisement. The saver chose a diversified product; the index chose the constituent; the fund inherited the vote; and the company then cites market demand as proof of

consent. Consent stretched across this many intermediaries is a legal fiction doing constitutional work.

The market for constitutions

The sixth layer is jurisdictional. A corporate constitution is now a product that venues sell in competition, and the competition has one direction. The United Kingdom's 2024 listing reform admits founder super-votes with no sunset and no ratio cap (Financial Conduct Authority, 2024). Hong Kong, which had capped weighted voting at 10 to 1 since 2018, halved its market-capitalization thresholds in July 2026 and now permits 20 votes per share at the top tier (Hong Kong Exchanges and Clearing, 2026). Each relaxation is announced as modernization and priced as competitiveness, listing revenue is private to the venue while the governance cost is diffuse, and no venue can hold a standard its rivals sell exemptions from. The shape is tax competition with charters as the base, and the catalog of proposed answers has reached Congress without producing a floor (Congressional Research Service, 2021).

The race, built

The second mechanism reproduces this stratum's history from 3 ingredients: founders whose valuation of insulation varies, venues that defect from a shared norm when a rolling window of lost listings crosses a threshold, and a demand for insulation that rises when intangible capital strengthens the founder's hand. Figure 2 shows the run. While demand for the wedge stays at its base-era level, the restrictive incumbent loses a trickle it can afford and the norm holds for 61 model years, matching the half-century the New York Stock Exchange actually held. Demand rises through the venture era and the incumbent defects 7 model years later, at model year 1987; the federal floor then binds the domestic market to zero new wedges until its removal, upon which the cascade completes immediately; the internationally mobile era tips the restrictive foreign venues in model years 2020 and 2024; and once every venue is permissive, the degree of permissiveness ratchets to its maximum and never descends, which is the 20-to-1, no-sunset endpoint the documents record. The counterfactuals teach the two lessons. Hold demand flat and the norm survives the century: the race needs demand, and moralizing about exchange greed misses the stratum underneath. Keep the floor and the domestic wedge stays at zero while roughly a tenth of demand leaks to venues outside the coordinated zone: coordination works, works imperfectly, and its imperfection is the honest price, which is small against the cascade it prevents.

Hierarchy, legible and denied

The stratigraphy explains how the wedge became normal. Whether it matters is a comparative question, and the comparison that disciplines it is Asian, because the relevant systems are more hierarchical than the American one and differ on the dimensions that decide whether hierarchy corrects. 5 dimensions organize the comparison. Visibility: can an outsider identify the controller? Reciprocity: does the controller bear losses in proportion to authority? Mandate: for whose benefit is control supposed to run? Removability: what institution can replace a failed controller? And

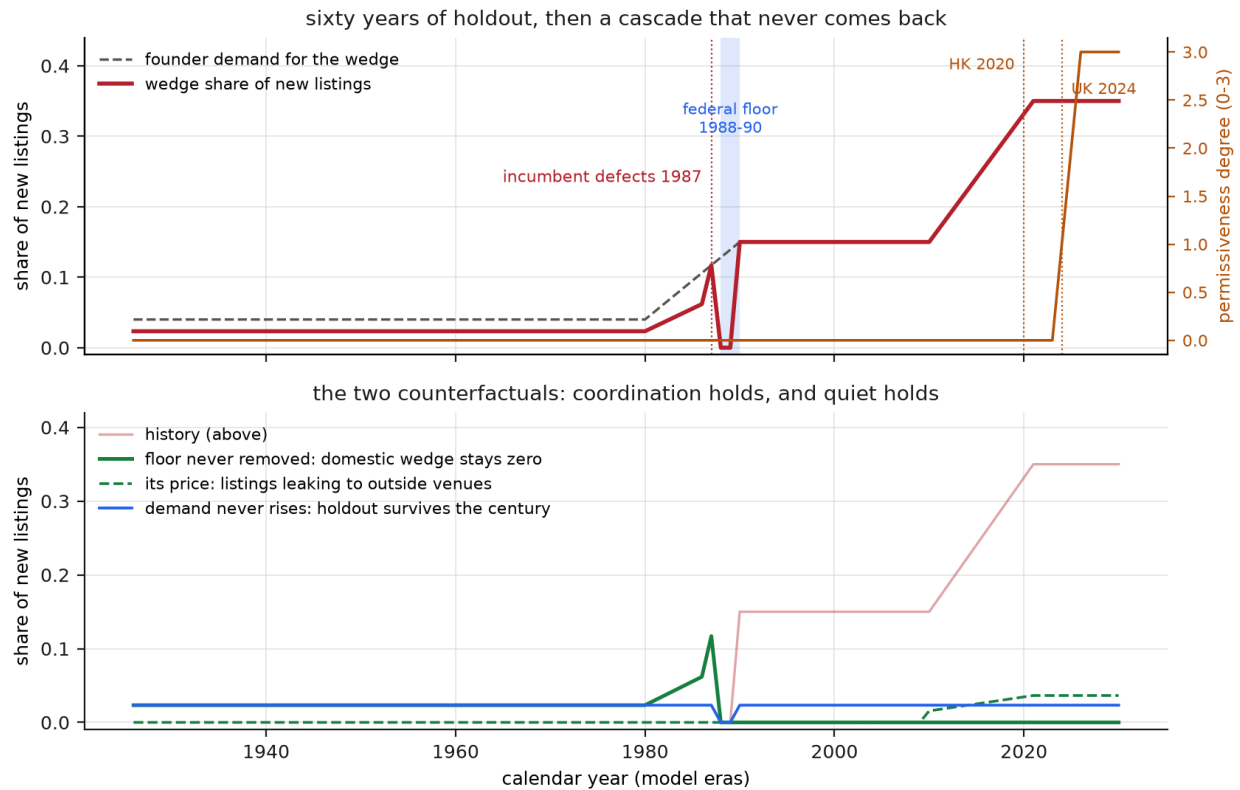


Figure 2: The race in listing standards. Top: 61 years of holdout under low demand, defection 7 years after the demand shift, the federal floor binding until removed, the foreign venues tipping in 2020 and 2024, and the permissiveness ratchet reaching its maximum. Bottom: with demand flat the norm survives the century; with the floor kept, domestic wedges stay at zero and a tenth of demand leaks abroad.

informational correction: can subordinates transmit unwelcome facts without ending their careers? The American founder corporation scores distinctively low on the last 4 while presenting itself as having no hierarchy at all, and that denial is its most particular feature. Singapore names its controller in the constitution. India names its promoters in the securities code. The American charter names a share class and lets the ideology of dispersed ownership do the concealing.

Five systems

Singapore organizes hierarchy as custody. Temasek's board and chief executive are appointed and removed with the concurrence of the elected president, a constitutional arrangement tied to protecting the state's past reserves (Republic of Singapore, 2020), the state owns the economic interest it controls, and the government-linked companies under this architecture have shown stronger governance and higher valuations than matched private peers (Ang and Ding, 2006). The design separates the state as owner from the state as regulator and hands succession to institutions rather than persons. Its known weakness is elite closure: supervisor and supervised drawn from one small pool, so that the reporting channel and the controller can fail together, a risk the correction model below prices explicitly.

China subordinates the corporation to the party. Party organization inside the large business groups runs appointments and strategy through the nomenklatura system (Brødsgaard, 2012), and the 2023 revision of the Company Law, effective July 2024, modernized capital rules, audit committees, and controlling-shareholder liability inside that political order (Standing Committee of the National People's Congress, 2023). The architecture removes controllers instantly once the center decides, and decides late, because loyalty selection degrades the reports on which the decision depends. China makes the top of the hierarchy perfectly legible and the middle opaque, the mirror image of the American arrangement, where the middle is transparent and the top is denied.

Japan ran control as a network. Cross-shareholdings, main banks, and stable corporate shareholders insulated managers for 2 generations, an ownership pattern that formed and unwound across the twentieth century (Franks, Mayer and Miyajima, 2014). The network dampened extremes in both directions: rare spectacular failures, chronic quiet underperformance. What makes Japan instructive now is the deliberate unwind: in March 2023 the Tokyo Stock Exchange asked every listed company trading below the cost of its capital, over 40 percent of the market at the time, to publish a plan (Tokyo Stock Exchange, 2023), and it has maintained and sharpened the request since (Japan Exchange Group, 2026). A 40-year-old control architecture is being dismantled by an exchange, a ministry, and a shareholder base moving in one direction. Correction is possible. It took 4 decades and a coordinated push.

Korea concentrated control in families through crossholdings rather than charters, and the measured cost is tunneling: mergers timed and priced to move value from minority shareholders to the controlling house (Bae, Kang and Kim, 2002). The 2025 amendments to the Commercial Act extended directors' duties to shareholders, mandated cumulative voting at large listed companies, and required separate election of audit-committee directors, with the provisions phasing in through 2026 (Republic of Korea, 2025). Whether the reform bites or is absorbed procedurally

is, at this writing, an open experiment, and the paper's falsification section stakes a claim on its outcome.

India names the thing. Its securities regime designates the promoter as a formal category, promoters hold roughly 50.1 percent of the value of the national exchange's listed companies (National Stock Exchange of India, 2025), and the naming does real work: an Indian promoter typically owns the cash flow he controls, so the wedge is narrow even where the stake is large. Reciprocity restrains without eliminating the pathologies, which are related-party transactions and group-level extraction, measured in the propagation of earnings shocks through pyramids (Bertrand, Mehta and Mullainathan, 2002) and addressed, incompletely, by a decade of minority-protection reform (Organisation for Economic Co-operation and Development, 2014). A promoter with 60 percent of the shares can still hurt the other 40. He cannot hurt them for free, and that distinguishes him from a founder holding 40 percent of the votes on 1.8 percent of the shares.

The comparison lands in one sentence: hierarchy is everywhere, and the pathology is hierarchy protected from correction, whether the protection is a share class, a loyalty cadre, a crossholding web, or a family pyramid, and the American contribution to the genus is the only variant that denies being a hierarchy at all.

Endogenous defeat

A formidable institution is rarely defeated head-on. Its walls face outward. The cheap attack runs through selection: change who is promoted, and the institution defeats itself. Loyalty replaces competence; truthful reporting becomes career-limiting; intelligence bends toward what leadership expects; maintenance loses to monuments; the experienced leave and take the institution's memory with them. Output holds for years on inherited capability, because the stock built by earlier stewards buffers the flow of current decisions, and the decline surfaces only when a crisis demands performance the stock can no longer supply. The mechanism is general. It consumed empires through distributional coalitions (Olson, 1982), through complexity whose marginal returns had gone negative (Tainter, 1988), and through elites who converted open access back into personal privilege (North, Wallis and Weingast, 2009).

The American state shows the pattern in its own ledgers. Trust in the federal government stood at 73 percent when first measured in 1958 and 17 percent in 2025 (Pew Research Center, 2025). The delivery capacity behind the trust migrated: the state's blended workforce of contract and grant employees now dwarfs its civil service, leaving a government that buys what it once did (Light, 2019). The migration has a measured price in both directions. In-house public engineers reduce infrastructure project costs by materially more than their salaries (Liscow, Nober and Slatery, 2023), and patent examiners grant more patents, of lower quality, to the firms that later hire them (Tabakovic and Wollmann, 2018). Capture of this kind needs no bribe. The regulated firm simply knows more than the regulator, pays more than the regulator, and employs the regulator's future self. Set the wedge inside this landscape and the 2 declines compound: firms that cannot be corrected from inside, facing a state that can no longer correct them from outside.

Correction, measured

The third mechanism makes the comparison computable. One organization, capability stock 10, growth 0.25 a year under a good controller. At a random year the controller fails and begins destroying 0.8 of capability a year. Output conceals the failure while the stock lasts: outsiders see nothing until capability falls below 6, and below 2 the organization can no longer regenerate, which the model calls defeat. What varies across the 5 architectures is the correction machinery: the fidelity with which internal reports reach whoever can act, the probability that a detected failure leads to removal, and the controller's own economic exposure, which drives self-correction. The sealed wedge suppresses reporting, removes almost nobody, and exposes its controller to 10 percent of the losses. The reciprocal majority owner is exposed at 60 percent. The state custodial architecture reports and removes well, and in 15 percent of episodes suffers elite closure, the supervisory channel captured along with the controller. The party vertical removes instantly once the center learns, learns late through loyalty-filtered reports, and pays a normal-times churn of good controllers removed by campaign. The network relational architecture halves the damage rate through mutual restraint, removes almost nobody, and waits for an external reform push.

Figure 3 reports the run of 4,000 failure episodes per architecture. The sealed wedge loses 5.35 units of capability per episode and reaches defeat in 39 percent of them, the worst tail in the set; the custodial architecture loses 0.89 with defeat at 1 in 250; the reciprocal owner loses 1.28, correcting mostly by self-exit, because exposure works; the vertical loses 2.69, detecting at a lag of 3.7 years against the custodial 0.7 and then removing fast; the network loses 4.41 over 13.5-year episodes, with reform as its largest correction channel at 0.4 of episodes. 2 results deserve the emphasis. First, in normal times the sealed wedge is the best architecture in the set, growing 4.5 against the custodial 3.45, because insulation really does buy speed while the controller is good; the tail is invisible in the calm. The calm is the sales brochure. Second, the decomposition: grant the sealed architecture free reporting and damage falls 12 percent; grant removability instead and damage falls 46 percent; grant both and it falls 81 percent, into custodial range. Transparency mandates without removal mechanisms treat the symptom the wedge does not have. What the wedge removes is removability, and the elite-closure result completes the warning for the custodial alternative: when its supervisory channel is captured, its per-episode loss more than quadruples, from 0.58 to 2.59, custody being only as good as the independence of its custodians.

Correction events

A diagnosis is a claim about where repair will be visible, so the diagnosis commits to observables. If this paper is right, value moves at correction events, the moments when a wedge closes or a correction channel opens: sunset conversions and their renewals, founder succession at wedge firms, the Japanese unwind as balance sheets convert protected crossholdings into distributed capital under the exchange's request, and the Korean amendments as the first cumulative-voting boards seat their audit committees. Each event is dated, public, and measurable, and each has a null result that would count against the paper: conversions that move nothing, successions absorbed without repricing, unwinds hoarded as cash, reforms complied with procedurally while the families keep

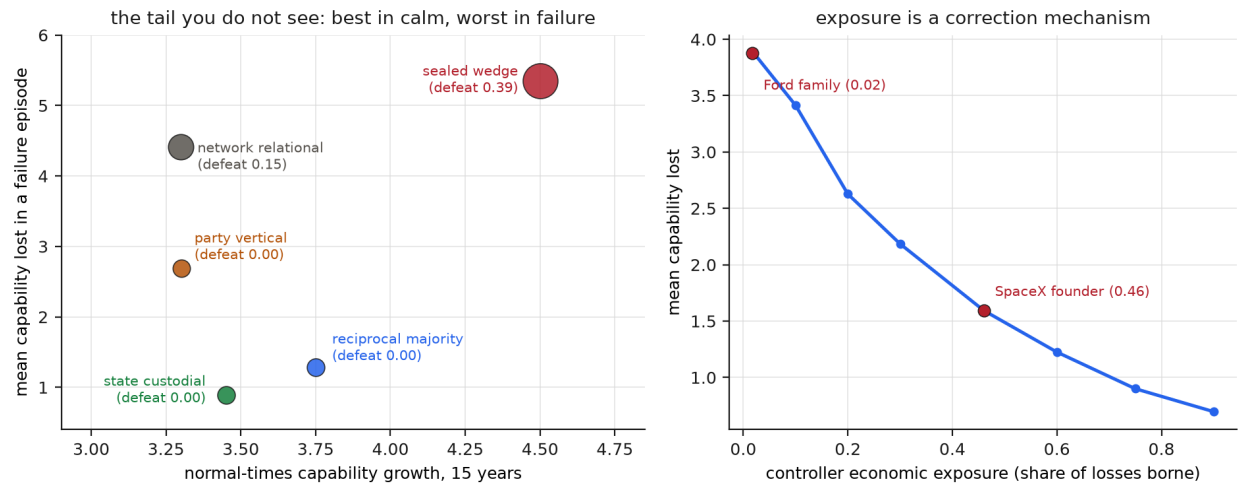


Figure 3: Correction capacity under 5 architectures. Left: normal-times growth against mean capability lost per failure episode; the sealed wedge is best in calm and worst in failure, with marker size showing the defeat rate. Right: economic exposure as a correction channel, with the measured Ford family and SpaceX founder stakes marked on the sweep.

the wedge by other means. The paper offers this as a research program with falsifiers rather than as counsel; being right about decadence pays nothing on its own, and nothing here is advice to buy or sell anything.

A constitutional settlement

The reform follows the mechanisms rather than the outrage, in 6 commitments. Superior votes expire, at 7 years, renewable by the unaffiliated on a demonstrated advantage, because the renewable sunset is the regime the lifecycle model ranks first. Superior votes convert on the founder's death, incapacity, departure, or sale below a stake floor, because a rationale of exceptional ability cannot pass by inheritance, and the entrenchment threshold makes low-stake control self-perpetuating. Superior votes go silent on self-dealing: controller pay, related-party transactions, and charter amendments extending control, the domains where Korea's and India's record shows extraction concentrating. Some directors are elected by the unaffiliated alone, because removability, on the correction model's decomposition, does 4 times the work of transparency. Every offering prints a control statement on its cover, the vote-to-equity ratio, the sunset terms, and the matters public shares cannot reach, so that the wedge is at least legible at the point of sale. And firms operating sovereign functions, launch, cloud, identity, communications, owe continuity: succession protocols, audit rights, and the state's retained capacity to reproduce the function, which requires the engineers the state has been shedding (Liscow, Nober and Slattery, 2023). None of this abolishes founders. All of it bounds duration, and duration is where the evidence says the harm lives.

Objections

The strongest case for the wedge deserves its full weight. Markets are myopic; founders carry knowledge that boards cannot absorb; radical projects need patience that quarterly capital will not extend; and the model's own lifecycle grants all of it, a real premium worth 0.30 units at listing. The objection defeats a ban. It cannot reach a sunset, because every argument in it is time-bound and person-bound, and a renewable sunset keeps the insulation for as long as the unaffiliated can see it working. The commitment objection runs deeper: a founder may create value precisely by credibly promising a 30-year horizon, which a 7-year review truncates. The renewable design answers most of it, since a demonstrated advantage renews, and the residual, projects whose value is real and invisible at every review, is a cost the settlement accepts in exchange for closing the tail in which 39 percent of sealed failures end in ruin. A third objection says Asian hierarchies are worse: more coercive, less appealable. Sometimes, and the paper's grid says which and when; the point of the comparison was never emulation but the isolation of the correction variable. Last, the models are stylized. The lifecycle drag, the defection thresholds, the correction rates are structural rather than estimated, and the paper's claims are correspondingly about shape: orderings, crossovers, and decompositions that survive parameter movement, with every constant published and every invariant a test the run must pass.

Falsification

The diagnosis is empirical and can lose. It loses if perpetual dual-class firms matched on age and sector outperform durably, past the window the premium literature documents. It loses if wide wedges stop predicting the agency costs they currently predict, or if controller turnover at wedge firms tracks performance as tightly as at single-class firms. It loses if the passive-ownership channel proves harmless, with stewardship substituting fully for exit and voice. It loses if the exchanges' race reverses without coordination, a venue voluntarily restoring one share, one vote and prospering. It loses if states rebuild delivery capacity while outsourcing further, breaking the link between contractor dependence and informational capture. And it loses in Korea and Japan specifically: reforms of just the kind the paper calls correction events, executed, with no measurable governance or valuation consequence, would say the wedge never mattered. Collapse, throughout, names a testable condition, the sustained loss of error-correction capacity, and never a mood.

The custodian and the owner

A collapsing order does not look like ruin. It looks sophisticated. The exchanges clear, the satellites launch, the models converse, and the institutions keep their famous names while the capacity for correction drains out of them one lawful filing at a time. The founder-controlled public corporation is a small, precise cast of this condition: public capital under private constitution, exposure sold while control is kept, the stock of inherited capability concealing the flow of current judgment, and every mechanism that could say no converted into a mechanism that records consent. The strongest fortress in the world can be lost without a shot, from the personnel office. And the deepest confusion in the arrangement is a confusion of roles: a steward holds power for a term and answers

for it; an owner holds what he paid for and bears what it loses; a custodian holds what outlasts him, on conditions. The wedge manufactures a fourth figure, the sovereign, who holds without paying, rules without answering, and outlasts every mechanism of correction except mortality, which is the one sunset the charters concede. Constitutions exist because virtue does not scale and mortality is not a governance mechanism. The corporation got a constitution in 1940 and sold it in 1986. The paper's arithmetic says the repurchase is worth the price, and its stratigraphy says nobody will buy it back by accident.

Reproducibility

The simulation, its 3 figures, and every model number quoted above regenerate from one command in the paper's repository (`simulation/run_all.py`; mechanisms 1 and 2 are expected-value arithmetic, mechanism 3 runs on a recorded seed, bit for bit). 34 invariants, among them the crossover landing inside the documented window, the renewable sunset's rank, the entrenchment threshold and the measured stakes on either side of it, the holdout surviving flat demand, the floor binding until removed, the ratchet's monotonicity, the sealed wedge's twin extremes, and the transparency-versus-removability decomposition, fail the run loudly if broken. The verified filing figures enter `results.json` as cited records with their sources.

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